Kirloskar Pneumatic Company Ltd

Concall-Tracker report | Ticker: KIRLPNU (NSE) / 505283 (BSE) | Sector: Compressors & industrial equipment

Quarter: Q2 2027 · Newest call read: Q2 FY27, 27 Oct 2026 · Figures in ₹ crore, standalone, unless stated

1. Snapshot

What the business does: KPCL makes compressors, machines that squeeze air or gas to high pressure, plus the systems built around them. It sells cooling compressors for cold storage and food processing, air compressors for factories, and gas compressors for CNG stations, oil-and-gas and biogas plants. It earns on the machine, on bigger turnkey "packages", and on years of servicing afterwards.

Q2 FY27 revenue	₹320 cr vs ₹378 cr, down ~15% - *sales fell on last year; the dispatches promised for Q2 didn't show up.*
H1 FY27 revenue	~₹620 cr vs ₹650 cr, down ~5% - *the first half shrank, in a year the company had targeted ~19% growth.*
Q2 FY27 operating profit (EBITDA)	₹48.7 cr, margin 14.9% vs ₹64.8 cr at 16.8% - *about ₹15 of every ₹100 of sales was operating profit, below the 18-20% band it targets.*
Q2 FY27 profit before tax (ex one-off)	₹39.6 cr vs ₹56.9 cr, down ~30% - *the real profit fell harder than sales.*
Q2 FY27 net profit	~₹40 cr vs ₹43 cr - *held up only because of an ₹11 cr one-off gain from giving 1.77 acres of Nashik land to a state road project.*
Order book (1 Oct 2026)	₹2,040 cr vs ₹1,863 cr at the start of the year - *up about a tenth; the best number in the quarter, led by CNG and refrigeration orders.*
Cash	Net cash ₹514 cr, zero debt - *no balance-sheet worry at all.*
Valuation	Market cap ~₹8,000 cr, P/E ~31 - *still priced as a grower, which the last two years of sales haven't been.*

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY25 → Q4 FY26 (6 calls)	Jan 2025 → Apr 2026	Carried forward from earlier reports
Q1 FY27 (prior boundary)	22 Jul 2026	Covered in Q1-2027 report
Q2 FY27 ★	27 Oct 2026	Newly deep-read in full

Only the Q2 FY27 call was read in full this quarter; the backstory comes from the prior reports. Eight calls in total span almost two years. Screener didn't yet carry this transcript, so it was taken from the company's investor page.

Latest concall highlights - Q2 FY27 (27 Oct 2026)

- **"A rather poor first half."** The MD's own words. H1 sales ₹624 cr vs ₹650 cr - *"for the second time in 2 years, our sales are lower than the corresponding period last year."*
- **Self-inflicted delay.** The big Precision Engineering order didn't ship because its paperwork was a "mix of various documents over the past few decades"; he admitted they should have fixed it before accepting the order - *almost all of it now ships in Q3 and Q4.*
- **Target walked back.** The ₹2,100 cr FY27 target is gone. Now it's "strong double-digit growth" and top-line 20% "does look a little bit challenging"; the 18-20% margin band is kept - *a soft cut, after saying in July "we would not be moderating anything."*
- **Orders picked up.** Order book ₹2,040 cr, CNG demand "very strong" after years of being flat, record refrigeration orders from food processing, biogas orders up sharply - *the machine side is still winning work.*
- **Tone:** candid and a bit chastened. Closing line: "the numbers which we have posted are not to the level which everyone is expecting."

Business mix & capacity

Domestic vs export: exports ₹64 cr in H1 vs ₹31 cr a year ago, still under 10% of sales - *an India story, though exports doubled.*
Mix: equipment 78% / packages 22% of H1 sales (vs 65/35 a year ago). Refrigeration ~42%, process gas 32-35%, air 16-20%, Precision Engineering 6-9%. Material cost fell to 44.7% of sales from 52.1% - *more in-house parts and fewer low-margin packages.*
Capacity: utilization not given on this call. H1 capex ~₹34 cr; the ₹320 cr Zephyros plant spend is on hold until sales pick up - *there's room to grow output without new plants.*

Since our last report ★ (builds on the Q1-2027 report, call of 22 Jul 2026)

Prior verdicts: **Trigger YES · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger	In-house products replacing imports; order book flat	Order book up ~10%; gross margin up on in-house content; but product sales up only ~13% in H1	**On-track, slower**
Consistency	Keeps profit promises, misses sales targets	Missed sales *and* profit this quarter; ₹2,100 cr target replaced	**Slipping**
Q1 dispatches catch up in Q2	"Some revenue pushed into Q2"	Q2 sales fell ~15%	**Broken**
Zephyros	First order Jul 2026; scale in FY28	Sold but not commissioned; capex paused	**Slipping**
18-20% margin band	Q1 at 17.6%	Q2 at 14.9%; band still promised for the year	**At risk**

Verdict change: trigger unchanged, consistency downgraded to NO. Last quarter we said that if Q2 didn't show the catch-up, this would become a third year of missed sales targets. It didn't, and management has now quietly dropped the number.

3. Earning Trigger thesis

The trigger: home-built compressors that India used to import

KPCL's long-run driver is its own designs (Tezcatlipoca centrifugal, Khione and Tyche cooling compressors, the A-800, Hydrino, Tonalli) taking share from imported machines. That's still visible: gross margin jumped as more parts are made in-house, Tezcatlipoca keeps "taking quite a bit of market share," and the order book grew. CNG has woken up after years of flat demand, and a new Kobe tie-up opens petrochemical compressors it couldn't sell before. What's not working is turning orders into sales on time. The engine is real; the gearbox keeps slipping.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Own-design compressors	Replace imports; new products ~15% of sales	Material cost 44.7% vs 52.1%; Tezcatlipoca share gains; but air demand slower than expected	Now	**Strong**	unchanged
CNG / process gas	"Strong year" for CNG; gas pipeline strong	Large CNG orders two quarters running; 1,060 CNG stations under service	H2 FY27 → FY28	**Strong**	↑ improving
Refrigeration / food processing	Cold chain build-out	Record orders across Khione, KC/KCX and Tyche	Ongoing	**Strong**	unchanged
Precision Engineering order	Large part in H1	Nothing shipped in H1; dispatches started Oct	Q3-Q4 FY27	**Moderate**	↓ delayed
Zephyros air-conditioning	₹320 cr plan; FY28 scale-up	One unit sold, not yet commissioned; capex paused	FY28+	**Unproven**	↓ weakening
Kobe tie-up (API 617/618)	Opens petrochemicals, green ammonia, steel	Just signed	FY28+	**Unproven**	new this quarter

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25	"Well above 20%" growth	Sales +23%, profit +58%	**Delivered**
FY26	"₹2,000 crore company"; >15% growth	Revenue ₹1,759 cr (+8%); profit +22%	**Missed**
Q4 FY26 → Q1 FY27	Zephyros commercial in Q1 FY27	First sale in Q2, not yet installed	**Partly**
Q1 FY27	Deferred sales land in Q2	Q2 sales down ~15%	**Missed**
Q4 FY26 → Q2 FY27	₹2,100 cr FY27; "not moderating anything"	Replaced by "strong double-digit growth"	**Dropped**
Ongoing	18-20% EBITDA margin	FY26 above band; H1 FY27 16.2%; still promised	**Too early**

Narrative drift: the story itself hasn't changed: own products, India demand, steady margins. What keeps changing is the date things arrive. FY26's ₹2,000 cr became "order inflow", FY27's ₹2,100 cr became "double-digit", Zephyros keeps moving right, and the Precision Engineering order slipped a half on paperwork the

company admits it should have caught. To his credit, Aman Kirloskar doesn't dress it up. But candour about misses isn't the same as hitting targets, and this is now a pattern, not a one-off.

5. Bottom line

Durable earning trigger? → YES (vs last quarter: unchanged)

Orders grew, CNG came back, refrigeration had a record half, and gross margin rose on in-house content. The products are winning. The reason this stays YES and not lower is that the order book now covers more than a year of sales and the delayed Precision Engineering order has started shipping, so H2 should be visibly stronger than H1. The risk is that the order-to-sales lag becomes the norm.

Management consistent? → NO (vs last quarter: downgraded from MAYBE)

The Q2 catch-up we flagged as the test didn't happen. Sales and profit both fell, the full-year number was dropped three months after being reaffirmed, and two of the newer bets (Zephyros, Precision Engineering) slipped again. That's the third straight year of sales targets not being met. Management is honest about it and still delivers on cash, debt and dividends, but the guidance can't be taken at face value until a year actually lands where they said it would.

Prepared from eight earnings calls (Q3 FY25 to Q2 FY27); only the Q2 FY27 call (27 Oct 2026) deep-read this quarter. Transcript sourced from the company's investor page. Not investment advice.